Practice workbook · Effects of interest rate changes

What an interest rate is and how a rise or fall affects business borrowing costs, investment, and consumer spending.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-22

1. Question 2 · part e · 3 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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2 *Jimmy Choo* ensures that it meets all legal requirements of each country where it has factories or shops.

(a) State **one** non-financial objective *Jimmy Choo* might have.

(1)

(b) State **one** reason why *Jimmy Choo* complies with health and safety laws.

(1)

(c) Explain **one** advantage to a country of being a member of a trading bloc.

(3)

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1. Question 2 · part e · 3 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

(d) Explain **one** way businesses support employees with disabilities.

(3)

(e) Explain **one** impact on a business of an increase in interest rates.

(3)

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1. Question 2 · part e · 3 marks

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Worked-example retry · Attempt part e only.

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There are times during the year when *Jimmy Choo* needs additional employees to manufacture its products. It is considering the following two options:

Option 1: casual employees

Option 2: part-time employees.

(f) Justify which **one** of these two options *Jimmy Choo* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

- ☒ **A** Provision of services
- ☒ **B** Exchange of goods
- ☒ **C** Extraction of raw materials
- ☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

- ☒ **A** The person can buy supplies from any supplier
- ☒ **B** The person is given support from an established business
- ☒ **C** The person is guaranteed a set wage
- ☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

- ☒ **A** 6.63%
- ☒ **B** 15.09%
- ☒ **C** 33.75%
- ☒ **D** 50.94%

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2. Question 1 · part a.iv · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

The bank interest rate in India changed from 4.5% to 6.0%.

(iv) Which **one** of the following could affect a business because of this change?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Increase in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(v) Which **one** of the following is a feature of a public corporation?

Select **one** answer.

(1)

- ☒ **A** It is owned by a board of directors
- ☒ **B** It is funded by government
- ☒ **C** It aims to maximise profit
- ☒ **D** It is not accountable to anyone

Figure 1 shows the cash flow of a business for a month.

	(£)
Opening balance	1 020 000
Cash inflow	360 000
Cash outflow	400 000

Figure 1

(vi) Which **one** of the following is the closing balance for the business at the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£40 000
- ☒ **B** £40 000
- ☒ **C** £980 000
- ☒ **D** £1 060 000

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2. Question 1 · part a.iv · 1 mark · Working and answer

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3. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

3. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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3. Question 1 · part a.vi · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.vi only.

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Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

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An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

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(c) Define the term **qualitative data**.

(1)

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3. Question 1 · part a.vi · 1 mark · Working and answer

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4. Question 1 · part c · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part c only.

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1 *Samsung* is a South Korean public limited company. It designs and produces electronic products including mobile phones, televisions and laptops. It has factories and offices in 74 countries and employs more than 270,000 people worldwide.

Samsung is the leading producer of televisions. It competes with businesses such as *Apple* and *Xiaomi* in the smartphone market.

The aim of *Samsung* is 'to create superior products and services that contribute to a better society'. To achieve this, *Samsung* invests heavily in new technology and employs skilled engineers to design innovative products.

(a) (i) Which **one** of the following is a financial aim of a business?

(1)

Select **one** answer.

- ☒ **A** Survival
- ☒ **B** Independence
- ☒ **C** Control
- ☒ **D** Challenge

(ii) Which **one** of the following is a job in the secondary sector?

(1)

Select **one** answer.

- ☒ **A** Farmer
- ☒ **B** Grocery store manager
- ☒ **C** Restaurant waiter
- ☒ **D** Ship builder

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4. Question 1 · part c · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part c only.

Figure 1 shows the number of employees in three factories owned by a European business.

	Number of employees
Factory 1	210
Factory 2	125
Factory 3	140

Figure 1

The business pays remuneration of €120 per day for each employee.

(iii) Which **one** of the following is the total daily remuneration cost for the three factories?

Select **one** answer. (1)

- ☒ **A** €15 000
- ☒ **B** €16 800
- ☒ **C** €25 200
- ☒ **D** €57 000

(iv) Which **one** of the following is an advantage of a hierarchical organisational structure?

Select **one** answer. (1)

- ☒ **A** It is less expensive to operate than a flat structure
- ☒ **B** It has a short chain of command
- ☒ **C** It has more job promotion opportunities for its employees
- ☒ **D** It has a wide span of control

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4. Question 1 · part c · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part c only.

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Figure 2 shows a monthly cash flow statement for a business.

	€ (euros)
Opening balance	€76 000
Cash inflow	€59 000
Cash outflow	€34 000

Figure 2

(v) Which **one** of the following is the net cash flow for this month?

Select **one** answer.

(1)

- ☒ **A** €17 000
- ☒ **B** €25 000
- ☒ **C** €42 000
- ☒ **D** €101 000

(vi) Which **one** of the following best describes Taylor's motivational theory?

Select **one** answer.

(1)

- ☒ **A** Workers are motivated by money
- ☒ **B** Workers are motivated by esteem needs
- ☒ **C** Workers are motivated by hygiene factors
- ☒ **D** Workers are motivated by working in teams

(b) Define the term **job rotation**.

(1)

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4. Question 1 · part c · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part c only.

(c) Define the term **interest rate**.

(1)

(d) State **one** job that an employee of *Samsung* might do in the production department.

(1)

A factory took 20 hours to produce 1000 smartphones.

(e) Calculate the factory's productivity of smartphones per hour. You are advised to show your working.

(2)

..... smartphones per hour

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4. Question 1 · part c · 1 mark · Working and answer

Working and answer

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5. Question 3 · part b · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

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3 *Backyard Shoez* is analysing its financial position before it begins selling shoes to men and children.

(a) Define the term **profit**.

(1)

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(b) Outline **one** impact on *Backyard Shoez* if interest rates increase.

(2)

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Backyard Shoez's monthly fixed costs are 100 000 Ks with a variable cost of 3 500 Ks for a pair of shoes, at a selling price of 4 300 Ks.

(c) Calculate the break-even point. You are advised to show your working.

(2)

.....Ks

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5. Question 3 · part b · 2 marks · Working and answer

Working and answer

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6. Question 2 · part e · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

2 *TADS* is looking to expand by offering lessons in other musical instruments.

(a) State **one** reason why this could lead to the business failure of *TADS*.

(1)

(b) State **one** benefit to *TADS* of using casual staff to teach music lessons.

(1)

(c) Explain **one** purpose of market research for a business.

(3)

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6. Question 2 · part e · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

(d) Explain **one** way to measure the success of a business.

(3)

(e) Explain **one** impact of an increase in interest rates on a business.

(3)

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6. Question 2 · part e · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

TADS currently pays its music teachers an hourly rate for every lesson they teach. It is looking to retain the teachers it currently employs.

It is considering the following two options:

Option 1: commission for each new pupil taught

Option 2: an increase in the hourly rate.

(f) Justify which **one** of these two options *TADS* should use.

(9)

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6. Question 2 · part e · 3 marks · Working and answer

Working and answer

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7. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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1 *Cadbury* was founded in 1842 when John Cadbury opened a shop in Birmingham in the UK. The shop sold cocoa and drinking chocolate. *Cadbury* is now one of the major chocolate manufacturers in the world.

In 1918 the first overseas *Cadbury* factory was opened in Hobart, Tasmania in Australia. Another factory opened in South Africa in 1938. *Cadbury* chocolates are sold across the world and other factories have been opened. *Cadbury* produces many well-known brands, such as Dairy Milk, Buttons and Crunchie. It also produces ice cream and cakes.

Cadbury is now part of *Mondelez*, the largest snack business in the world.

(a) (i) Which **one** of the following types of business ownership would usually be formed by a business of two solicitors?

Select **one** answer.

(1)

- ☒ **A** Sole trader
- ☒ **B** Partnership
- ☒ **C** Public Corporation
- ☒ **D** Public Limited Company

(ii) Which **one** of the following would show a business its cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** Cash inflows and outflows
- ☒ **B** Money owed to its creditors
- ☒ **C** Net cash flow
- ☒ **D** Opening and closing balances

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7. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

In the UK an 850 gram *Cadbury* Dairy Milk Bar costs £9.99 (GBP).

The exchange rate is £1.00 = 20.58 ZAR (South African Rand)

(iii) Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?

Select **one** answer.

(1)

- ☒ **A** 41.60
- ☒ **B** 205.60
- ☒ **C** 411.19
- ☒ **D** 411.60

(iv) Which **one** of the following functional areas would a skilled machinist work in?

Select **one** answer.

(1)

- ☒ **A** Finance
- ☒ **B** Human Resources
- ☒ **C** Production
- ☒ **D** Marketing

A *Cadbury* Crunchie Bar normally costs £0.95. It is on special offer for £0.87.

(v) What is the percentage decrease in the price of the *Cadbury* Crunchie?

Select **one** answer.

(1)

- ☒ **A** 0.92%
- ☒ **B** 1.09%
- ☒ **C** 8.00%
- ☒ **D** 8.42%

(vi) Which **one** of the following is an example of secondary market research?

Select **one** answer.

(1)

- ☒ **A** Telephone Survey
- ☒ **B** Market Report
- ☒ **C** Test Marketing
- ☒ **D** Focus Group

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7. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(b) Define the term **personal savings**.

(1)

(c) Define the term **sole trader**.

(1)

(d) State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.

(1)

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7. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Cadbury makes a chocolate cake for £6.50. A tax of 20% is added to give the selling price.

(e) Calculate the selling price of the chocolate cake. You are advised to show your working.

(2)

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(f) Explain **one** advantage for businesses if banks reduce their interest rates.

(3)

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7. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(g) Analyse **two** factors that could influence *Cadbury* when locating a new factory.

(6)

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(Total for Question 1 = 20 marks)

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7. Question 1 · part f · 3 marks · Working and answer

Working and answer

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8. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) State **one** reason why *Starbucks* should have good communication with its customers.

(1)

(b) State **one** way *Starbucks* could follow health and safety legislation.

(1)

(c) Explain **one** reason why many manufacturing businesses use just-in-time (JIT).

(3)

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8. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

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(d) Explain **one** reason why it is important that businesses pay their suppliers on time.

(3)

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(e) Explain **one** effect on a business if interest rates are decreased.

(3)

8. Question 2 · part e · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

Starbucks wants to ensure that its employees remain with the business. To do this it is considering the following two methods:

Option 1: financial methods

Option 2: non-financial methods.

(f) Justify which **one** of these two methods *Starbucks* should choose.

(9)

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8. Question 2 · part e · 3 marks · Working and answer

Working and answer

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9. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

4 *NEXT* continually monitors progress so that it can measure the success of its business. It aims to do this through improving manufacturing techniques and cutting costs, whilst still maintaining the quality of the goods produced.

Figure 2 shows selected financial information for *NEXT* in 2019.

	2019 (£m)
Revenue	4 221
Operating profit	590

Figure 2

(a) Calculate to two decimal places the operating profit margin for *NEXT* in 2019. You are advised to show your working.

(2)

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9. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

(b) Analyse the effects for *NEXT* of an increase in UK interest rates.

(6)

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9. Question 4 · part b · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

(c) Evaluate the importance for *NEXT* of maintaining quality throughout all of its manufacturing processes. You should use the information provided as well as your own knowledge of business.

(12)

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9. Question 4 · part b · 6 marks · Working and answer

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10. Question 1 · part g · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

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10. Question 1 · part g · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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10. Question 1 · part g · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

Artify Studio imports sets of acrylic paint from Malaysia at a cost of 8.50 Malaysian Ringgit (MYR) per set.

The exchange rate is 1 MYR = 0.33 S$ (SGD).

(vi) Which **one** of the following would *Artify Studio* pay in SGD if they imported 15 sets of paints?

(1)

Select **one** answer

- ☒ **A** 2.81
- ☒ **B** 4.95
- ☒ **C** 15.00
- ☒ **D** 42.08

(b) Define the term **diseconomies of scale**.

(1)

(c) Define the term **job production**.

(1)

(d) State **one** financial method of motivation *Artify Studio* could use to motivate its employees.

(1)

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10. Question 1 · part g · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

Artify Studio offers a 12% discount to parents if they book the 'Duo Parent and Child Art Camp' and the 'Children's Illustration Workshop' at the same time. The combined price for both courses before being discounted is S$285.

(e) Calculate the discounted cost of booking both courses at the same time.

You are advised to show your working.

(2)

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(f) Explain **one** measure a business can use to judge its success.

(3)

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10. Question 1 · part g · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

(g) Analyse the effect of a decrease in interest rates on *Artify Studio*.

(6)

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(Total for Question 1 = 20 marks)

10. Question 1 · part g · 6 marks · Working and answer

Working and answer

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11. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

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3 *TUI* wants to maintain its reputation by continuing to provide quality holidays and experiences that customers will enjoy. This will encourage them to return to book future holidays with *TUI*.

(a) Define the term **multinationals**.

(1)

(b) Outline **one** reason why *TUI* offers employees working in its travel agencies a commission based on the number of holidays they sell.

(2)

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11. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

Figure 1 shows the current assets and current liabilities for *TUI* in 2022.

2022	€ '000
Current assets	7 758 152
Current liabilities	5 654 468

Figure 1

(c) Calculate, to two decimal places, the current ratio for *TUI* for 2022. You are advised to show your working.

(2)

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11. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse the effect on *TUI* customers of an increase in interest rates.

(6)

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11. Question 3 · part d · 6 marks

2024 JUN · Paper 02

Further practice · Attempt part d only.

TUI constantly checks for customer feedback and comments on its holidays, including hotel stays and cruises. It is considering the following two options to gain the most up-to-date views:

Option 1: using the internet

Option 2: asking customers to complete a questionnaire.

(e) Justify which **one** of these two options *TUI* should use.

(9)

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11. Question 3 · part d · 6 marks · Working and answer

Working and answer

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12. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 *CCT* is offering team-building tours to other businesses. The price per person for these tours is 938 CYN. If a business books more than five places, it receives a 6% discount.

(a) Calculate the total discount received by a business when it books eight people on a team-building tour. You are advised to show your working.

(2)

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12. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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CCT has a website to provide information to its customers and make bookings.

(b) Analyse other forms of technology *CCT* can use to communicate its services.

(6)

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12. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

In 2024 the interest rate in China was 3% but is now predicted to increase to 3.2% in 2025.

(c) Evaluate the impact on *CCT* of an increase in the Chinese interest rate. You should use the information provided as well as your own knowledge of business.

(12)

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OLevels.com SCHOOL

12. Question 4 · part c · 12 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

12. Question 4 · part c · 12 marks · Working and answer

Working and answer

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